



AI NUTRITION GUIDANCE

POWERED BY PRIME100

“From Symptoms to **One Clear Diet.**”

AI-powered nutrition guidance — from Prime100

Cheng Peng, Hanum Zahrani, Ana Hasan, Anna Yang

Case Overview: Colgate-Palmolive - Prime100's 3-year launch in U.S. market

Executive Summary



Sensitive Pet Owners in The U.S. are Frustrated with The High Cost of Veterinarians

Situational Analysis



Meet Katie..



My dog keeps scratching and having stomach issues. Going to the vet is expensive and complicated, but when I look for more affordable sensitive-diet options online, there are too many choices and I don't know which protein is safe to start with.

45 years old, owner of diet-sensitive dog



High Cost of Veterinary Care

- Vet visits and diagnostic tests are expensive
- Prescription diets require additional ongoing spending
- Many owners delay or avoid care due to cost



Too Many Online Options, No Guidance

- Hundreds of “sensitive” or “allergy” dog foods online
- Labels lack clarity on protein suitability
- Trial-and-error leads to wasted money and worsening symptoms



Demand for Better, Trustworthy Alternatives

- More affordable alternatives
- Clear guidance on where to start, especially for elimination or novel-protein diets
- Trustworthy recommendations backed by science or vet credibility



Rapid Growth of the Novel Protein Industry reinforces Prime100's positioning

About: The Novel Protein Industry & Prime100 Analysis



\$4.78B

Projected Market Value by 2033

8.2% CAGR

Projected Growth (2025 – 2033)



Opportunity

Portfolio Advantage

- Prime100 operates under Colgate-Palmolive enabling scale in distribution and to leverage portfolio trust to accelerate U.S market entry.

Sensitive & Novel Protein Expert

- It offers non-traditional proteins with a proven track record with a broader novel protein variety unlike competitors.

Niche Target Market

- The novel protein segment is growing year over year and remains fragmented with 55% of the market share signaling prominent whitespace to be filled.

Key Considerations



Compliance & Regulatory Requirements

- U.S. Pet Food is the most regulated market that requires both federal and state regulations to be met prior to national distribution

Distribution Channel as a new entrant

- Prime100 must secure retailer ready execution and deliver consistent in stock performance to maintain U.S. shelf space

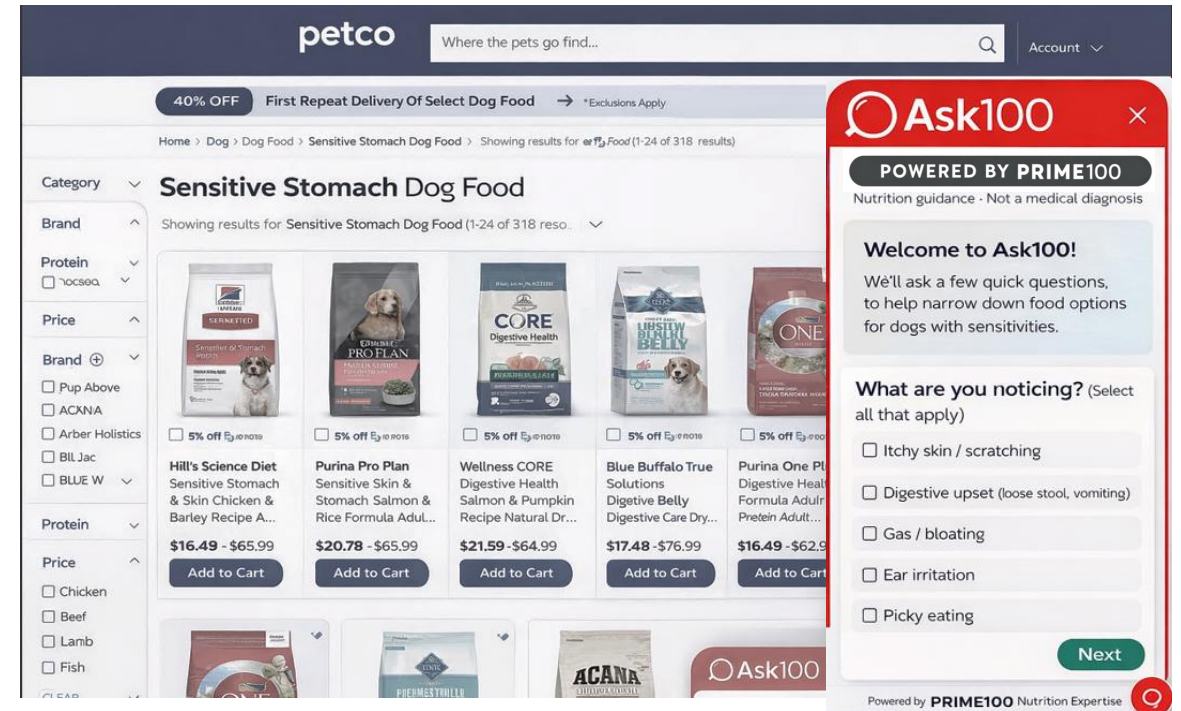
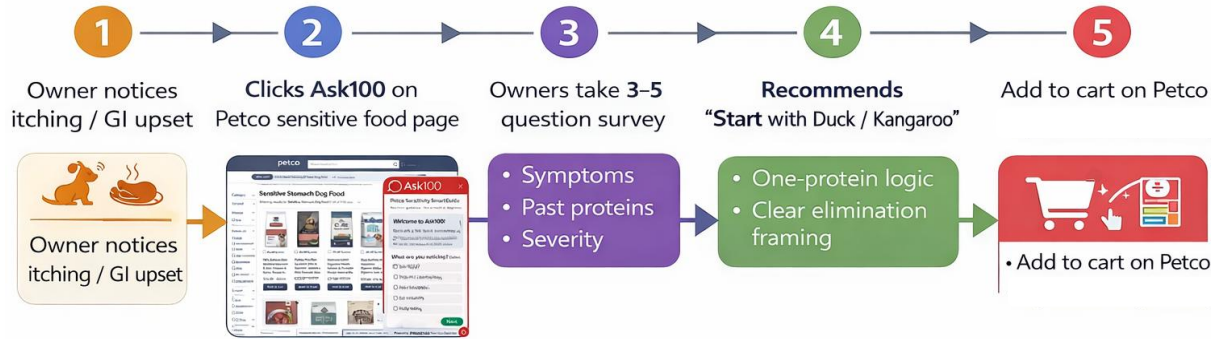
Clear Positioning

- Signal clear differentiation as a sensitive and novel protein pet food brand



From Overwhelming Choice to Confident Decision: Ask100

About: Petco Sensitivity SmartGuide



1 — Decision-Support

What the user sees

- Embedded **AI assistant vet** who turns passive browsing to problem-solving
- Structured, diagnostic-style decision tool
- Systematically captures symptoms, diet history, and past protein exposure

What this changes

- ❑ From **"Which brand should I choose?"** to **"Which dietary intervention makes sense given my dog's history?"**

2 — Guided Elimination

User inputs → **Symptom type, Prior diet history, Previously tried proteins**

System logic

- ❑ Exclude failed proteins from prior trials
 - ❑ Prioritize single-protein and novel-protein options
 - ❑ Apply non-prescription elimination framework

3 — Ranked Recommendation

Ask100 Outputs

- ❑ Short, ranked list of suitable dog foods
- ❑ Clear explanation of "why this fits"
- ❑ **Prime100 ranked first ONLY** when appropriate

Conversion path → Return to Petco product grid → Direct "Add to Cart" within existing flow → Improves conversion without bias

Capital-Light, Data-Enabled Growth Engine: Ask100

Decision Criteria: Petco Sensitivity SmartGuide



Long-Term Growth Potential

Building of **unique pet-health learning system**: links dog symptoms + diet history + food recommendations + post-purchase outcomes

- Aggregates **real-world performance data** → guides **future R&D priorities + protein selection + formulation improvements**
- = **Continuous innovation** = **Strengthens leadership in market**

Feasibility

- Uses **rule-based dietary screening**, not medical diagnosis
- Operates **before veterinary prescription**, avoiding regulatory and compliance complexity
- Prime100's narrow, single-protein SKU structure simplifies recommendation logic

Sustainability

- Integrates Prime100 into the decision process
- Enables **re-purchases** once a "working" diet is identified
- Each user interaction **improves recommendation accuracy**
- **Difficult to replicate** without equivalent retail integration, data scale, and diagnostic positioning

Profitability

- Increases **conversion efficiency**: turning **uncertain browsers** into **confident buyers**
 - Reduces **trial-and-error switching + lower returns**
- Supports **premium pricing** through perceived expertise & guidance
- **Prevents cannibalization** of Hill's core prescription business.



Key Features & Functions that make up Ask100

Implementation: Key elements



Introduction

Analysis

Recommendation

Implementation

Conclusion

Which Markets do Prime100 Enter and How?

Implementation: Target Market Entry



Target Market

3

*selected
states entry*

Premium Market Seeding

- Launch in FL, TX, PA
- Highest pet ownership & allergy incidence
- Legal compliance

Functional Sensitive

- ~20% dog owner, driven by Trial & error
- Need: Skin / GI sensitivity
- \$\$\$: Medium – High

Novel Protein

- Low competition market
- Minimal competitive risks



Channels

Specialty Stores & Grooming Stores

- B2B Model

Direct to Consumer Sales via online website

- Exclusive E-commerce channel

Petco Retail Distribution

- Exclusive partnership in the retail route



Benefit to Consumer

New Cost Effective Solution to Non-Emergency Situations

- Avoid increasing clinical treatment & prescription costs in U.S

Implication for Colgate

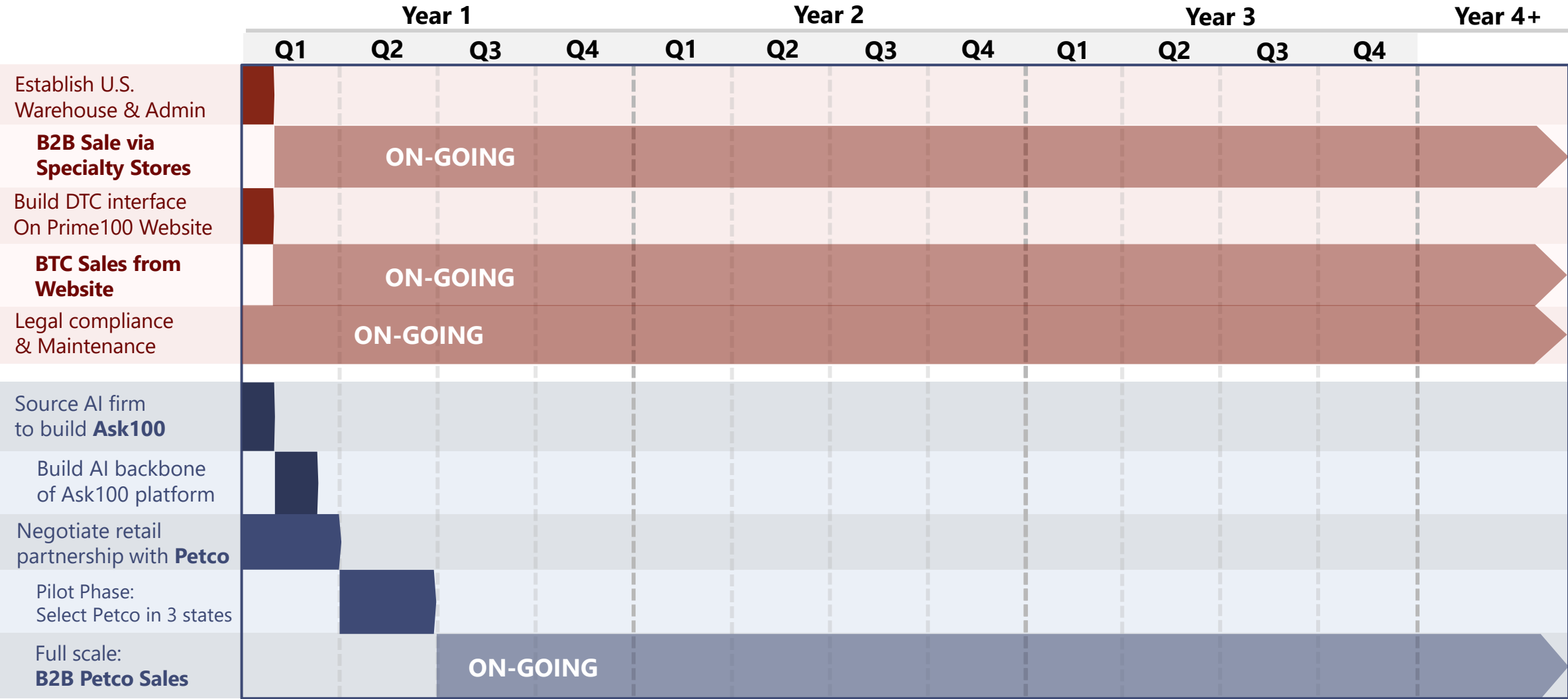
Minimal Cannibalism with existing Hill's brand

- Exclusive partnership in the retail route



3-Year Lauch Plan of Product Lines & Ask100

Implementation: Timeline & Key Activities



Profit Projection: Ask100

Implementation: Market Size, Unit Economics, and Break-Even Logic



Market Size & Revenue Driver



Sensitive-System + Novel Protein dog food

→ ~\$11B U.S. market (2025)



Targets **confused, high-intent shoppers** on Petco's high-traffic website
→ High WTP pet owners



Revenue driven by **higher conversion** from **high-confidence buyers**
→ More repurchase

Cost Structure

Leveraging Colgate's existing capabilities

- Reduced external spend → IT infrastructure, teams, and governance

Initial Platform Cost: \$75K–\$150K (Assume \$100K)

- Guided questionnaire
- Rules-based recommendation engine
- Petco website integration

Ongoing cost: 15–25% of initial build cost / year

- Ongoing maintenance, updates, analytics, bug fixes

Economics & Profit

- Avg retail price: ~\$100 / bag
- Petco margin: ~40–45%
- Prime100 Gross profit: ~\$22/bag
- Volume Assumptions:
 - 1st year = 40K bags;
 - Steady-state = ~100K bags/yr

Break-even volume $\approx$ Platform cost $\div$ Gross profit/bag $\approx$ **6900 Bags**

- Well achievable within 1st year of operation

1st year gross profit $\approx$ Bags sold $\times$ Gross profit/bag = **\$880K**

Stabilized gross profit $\approx$ **\$2.2M**

(See Appendix for details)



Risks

Potential Retaliation from Petco

- PetCo may develop their own AI weakening partnership leverage.

Channel Conflict & Cannibalization Risk on Hills

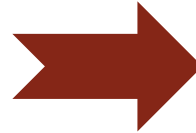
- Prime100 growth may shift sales away from Portfolio Brand Hill's.

Regulatory & Brand Credibility Risk

- Strict U.S. regulatory rule act ensures delays and can block effective rollout.
- prove brand credibility and success among established pet food brands

Supply Complications

- Prime100 must maintain certain in-stock performance to remain in U.S. shelves.



Mitigation

Distinct Customer Segments

- Hill's: mass clinical prescribed pet food offering general sources of protein.
- Prime100: sensitive diets through OTC specialised protein sources.

Pilot and Scale Rollout

- Start distribution within three states
- Expand distribution after pilot proves supply reliability

Compliance & Third party verification

- Display clear FDA/AAFCO alignment on packaging.
- Implement third party verification & regular on-site visits
- Leverage proven success in Australia and being scientifically backed by specialists



From Frustration to Clarity and Customer Loyalty

Conclusion



Meet Katie..



Now I know exactly where to start. Ask100 helped me choose a novel-protein diet that actually works for my dog, without another expensive vet visit. I subscribe to Prime100, earn rewards, and I can easily restock online or at my local specialty store.

45 years old, owner of diet-sensitive dog



Guided Discovery with Ask100



- Clear starting point — no-trial-and-error
- Science-backed recommendations, not guesses



Seamless Access to Prime100



- Enjoys subscription discounts + reward points
- Shops online or at trusted specialty retailers

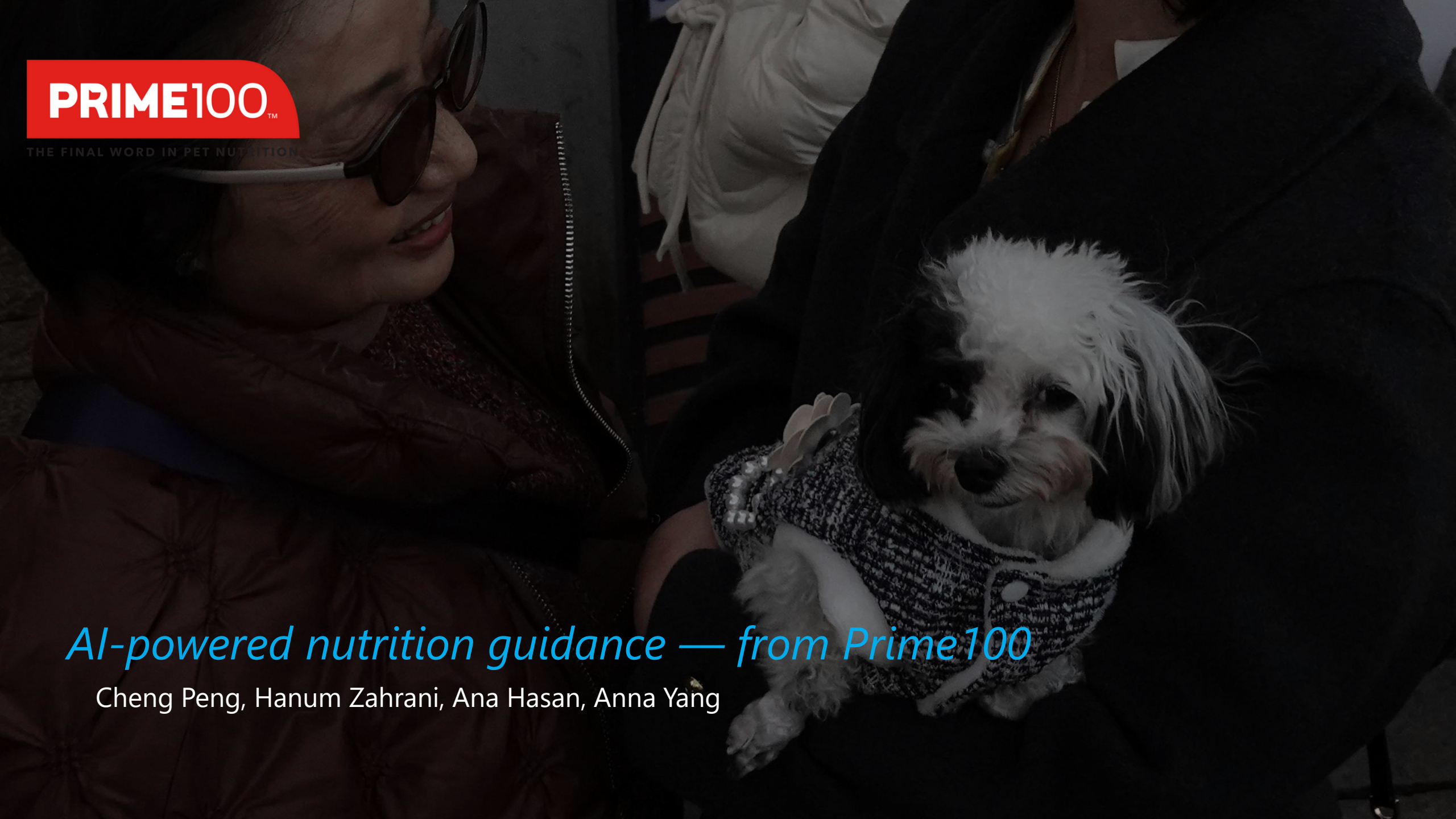


Subscription & Loyalty Ecosystem



- Prime100 becomes Katie's go-to brand
- Higher switching costs lock in long-term ♥
- Loyal Prime100 Customer





PRIME100™

THE FINAL WORD IN PET NUTRITION

AI-powered nutrition guidance — from Prime100

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Prototype Walkthrough: Ask100 AI-powered sensitivity nutrition aid

Appendix



petco Where the pets go find... Account

40% OFF First Repeat Delivery Of Select Dog Food → *Exclusions Apply

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Home > Dog > Dog Food > Sensitive Stomach Dog Food (1-24 of 318 results)

Category Brand Protein Price Brand

Showing results for Sensitive Stomach Dog Food (1-24 of 318 results)

Sensitive Stomach Dog Food

5% off \$16.49 - \$65.99 Hill's Science Diet Sensitive Stomach & Skin Chicken & Barley Recipe Adult Dry Dog Food

5% off \$20.78 - \$65.99 Purina Pro Plan Sensitive Skin & Stomach Salmon & Rice Formula Adult Dry Dog Food

5% off \$21.59 - \$64.99 Wellness CORE Digestive Health Digestive Care Natural Dry Dog Food

5% off \$17.48 - \$76.99 Blue Buffalo True Solutions Digestive Belly Digestive Care Dry Dog Food

5% off \$16.49 - \$62.99 Purina One Protein Formula Adult Dry Dog Food

Ask100

Pe POWERED BY PRIME100

Nutrition guidance · Not a medical diagnosis

Welcome to Ask100!

We'll ask a few quick questions, to help narrow down food options for dogs with sensitivities.

What are you noticing? (Select all that apply)

☐ Itchy skin / scratching

☐ Digestive upset (loose stool, vomiting)

☐ Gas / bloating

☐ Ear irritation

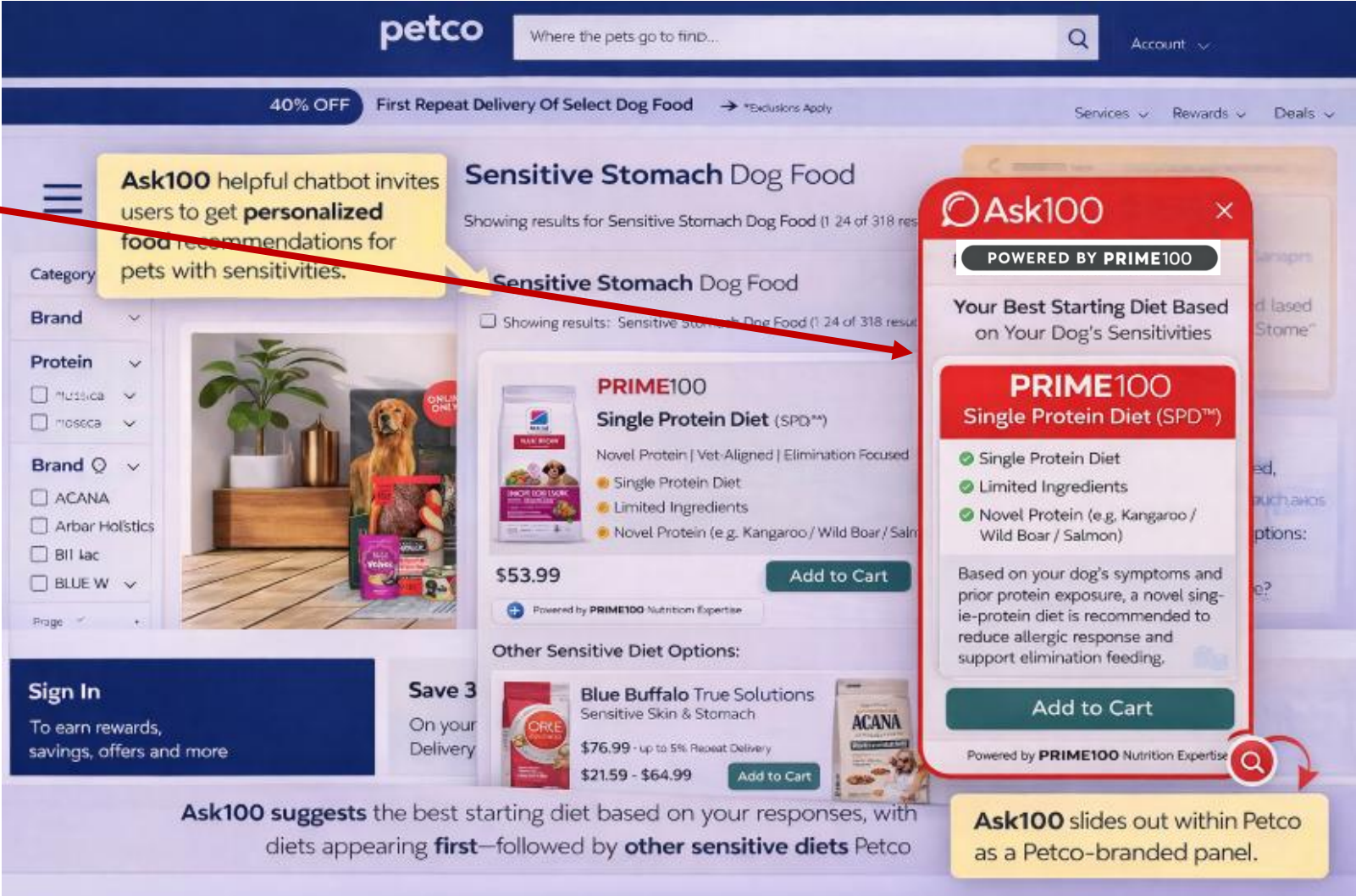
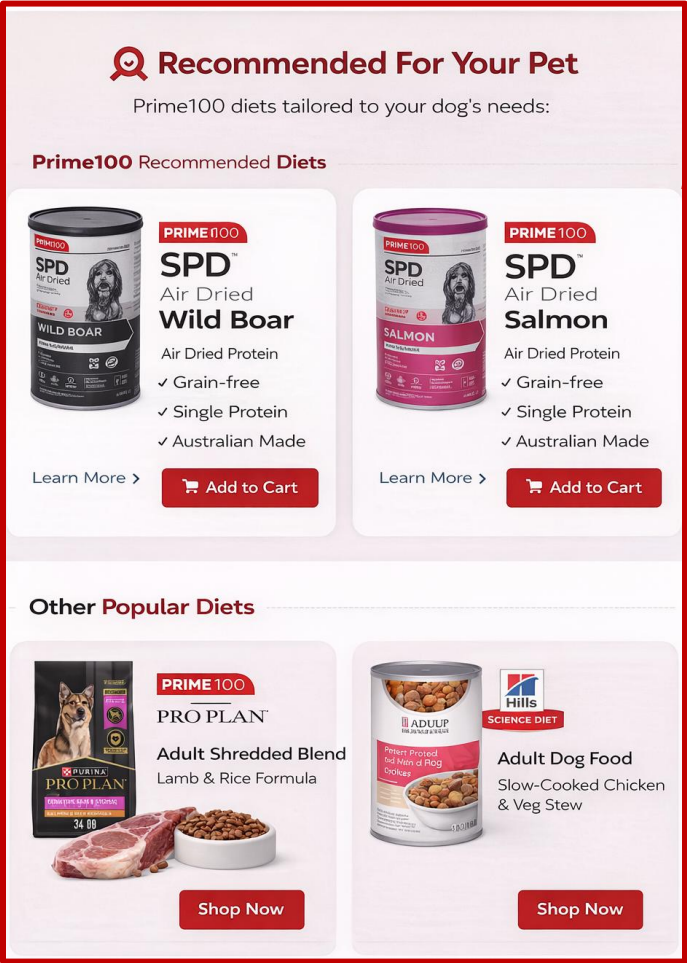
☐ Picky eating

Next

Powered by PRIME100 Nutrition Expertise

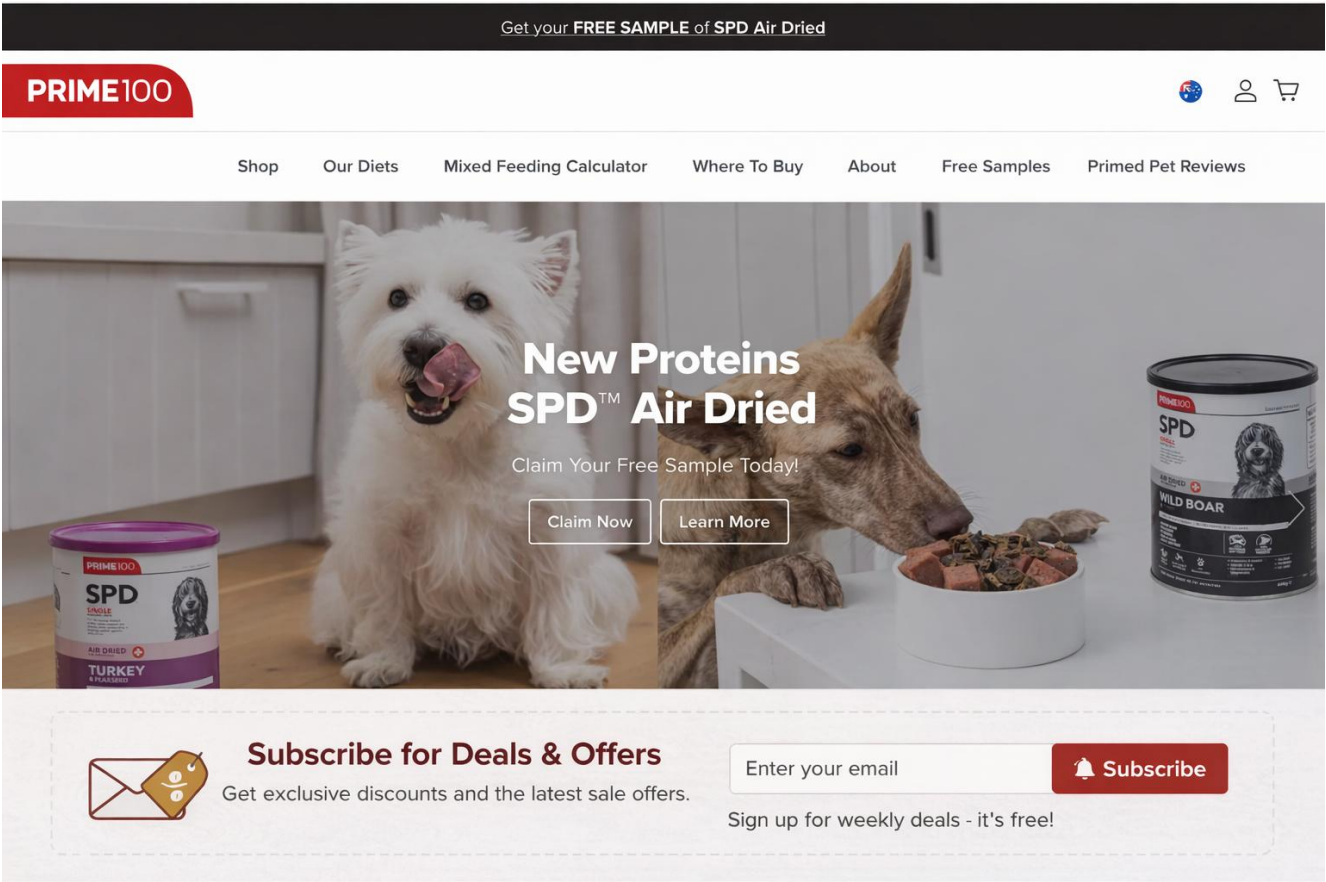
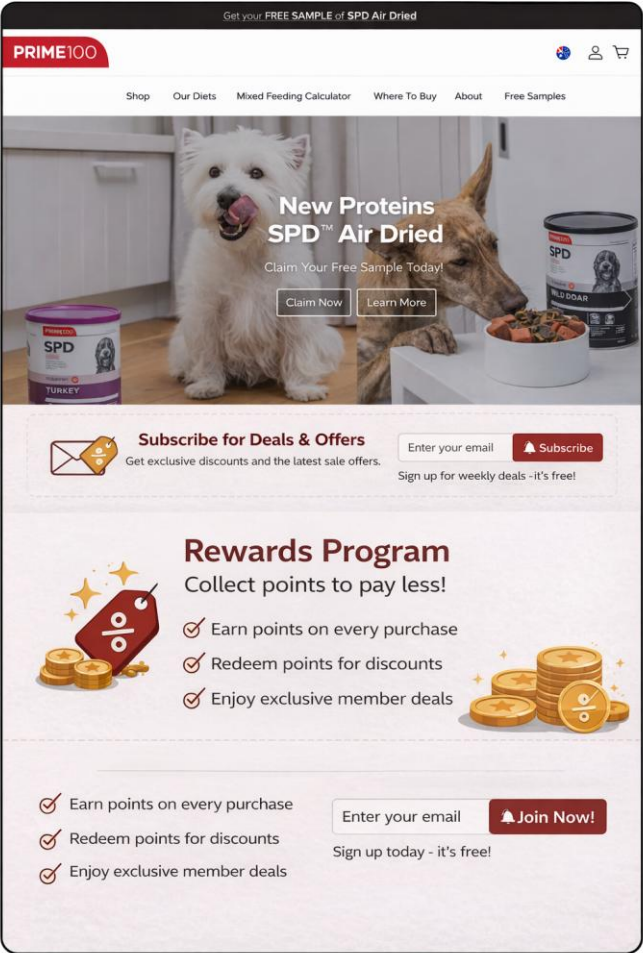
Prototype Walkthrough: Ask100 AI-powered sensitivity aid

Appendix



Prototype Walkthrough: Prime100 DTC Website with Rewards Function

Appendix



100K Bags in 1st Year

- Ask100 targets only Sensitive-System + Novel Protein shoppers on Petco
- Combined segment size ≈ \$11B U.S. market (2025)
- At ~\$100 per bag → ≈ 110M bags/year industry-wide

What 100K bags represents

- <0.1% of relevant market volume
- Equivalent to ~8,000–9,000 dogs nationwide
 - Assumes ~12 bags per dog per year
- Achievable through modest conversion uplift among high-intent Petco users

Year	Incremental Bags Sold	Rationale
Year 1	40,000	Pilot + limited traffic capture
Year 2	80,000	Expanded placement + trust build
Year 3	150,000	Full rollout + repeat users
Year 4	220,000	Optimization + learning effects
Year 5	300,000	Mature adoption within niche

Metric	Y1	Y2	Y3	Y4	Y5
Incremental bags sold	40K	80K	150K	220K	300K
Net revenue per bag	\$58	\$58	\$58	\$58	\$58
Net revenue (\$M)	2.3	4.6	8.7	12.8	17.4
Gross profit per bag	\$22	\$22	\$22	\$22	\$22
Gross profit (\$M)	0.9	1.8	3.3	4.8	6.6



Pet Allergy Claims in the United States

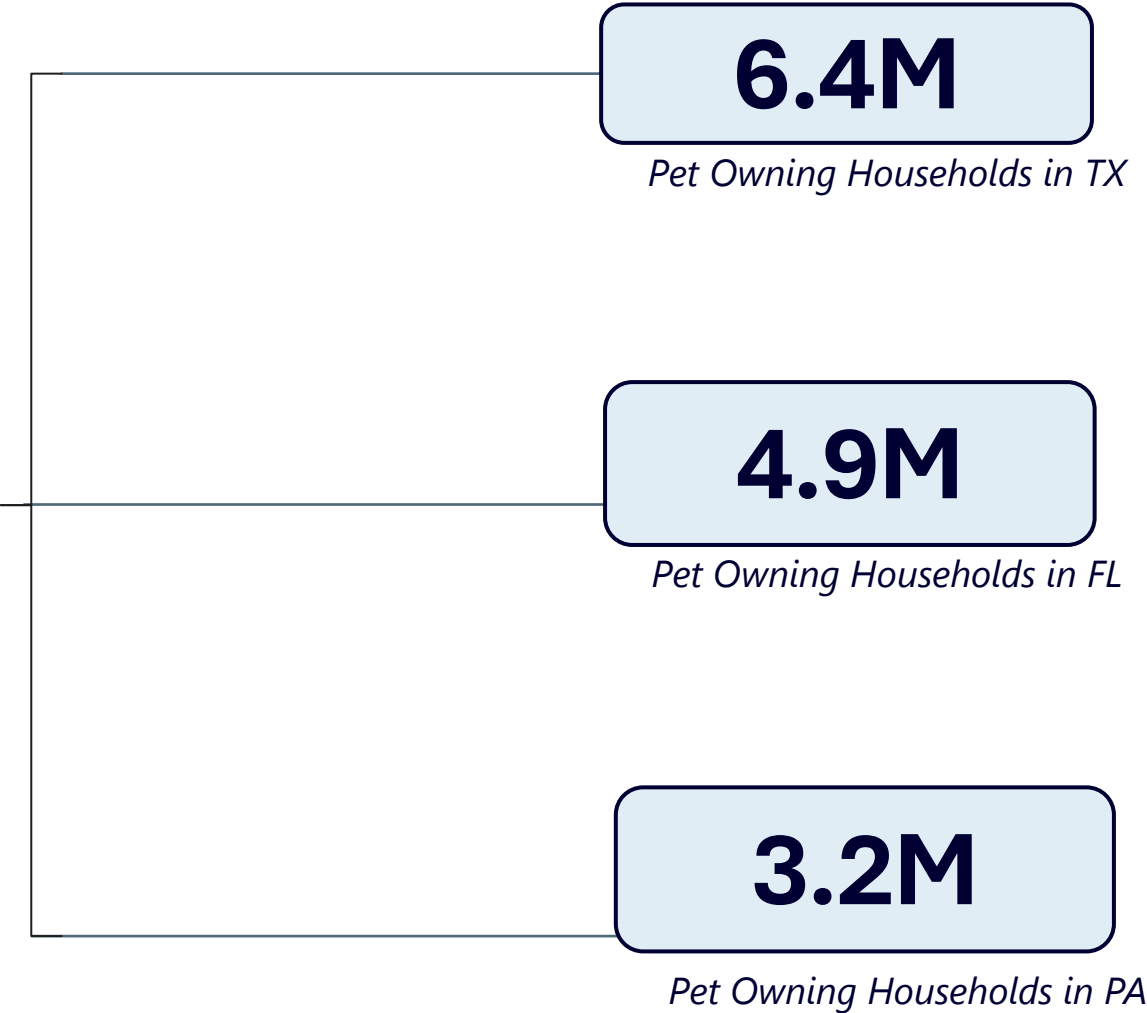
State	Claims In 2024	% Change Since 2020
California	36,121	28%
Texas	7,584	34%
Florida	13,263	28%
Pennsylvania	5,183	23%
New York	16,598	35%
Virginia	5726	17%

Source: Trupanion Pet Medical Insurance

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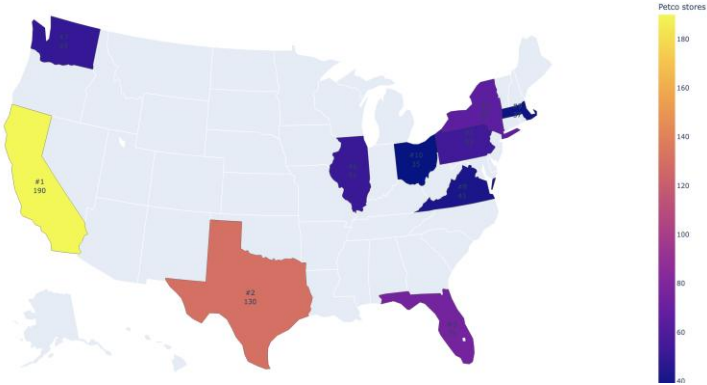
Largest Addressable Base by State

- Highest Volume Launch Markets are Texas, Florida & Pennsylvania
- Meaningful allergy claims supporting strong demand for sensitivity solutions



1

Number of PetCo Stores in selected U.S. States



Strong Retail Presence

- Texas: 130 Stores
- Florida : 75 Stores
- Pennsylvania: 53 Stores
- Strong Petco Footprint ensure effective rollout

2

Regulatory Status of Target U.S. States

Novel Protein Source		TEXAS	Pennsylv ania	Florida
Crocodile	✓	Legal	Legal	Legal
Kangaroo	✓	Legal	Legal	Legal
Wild Boar	✓	Legal	Legal	Legal

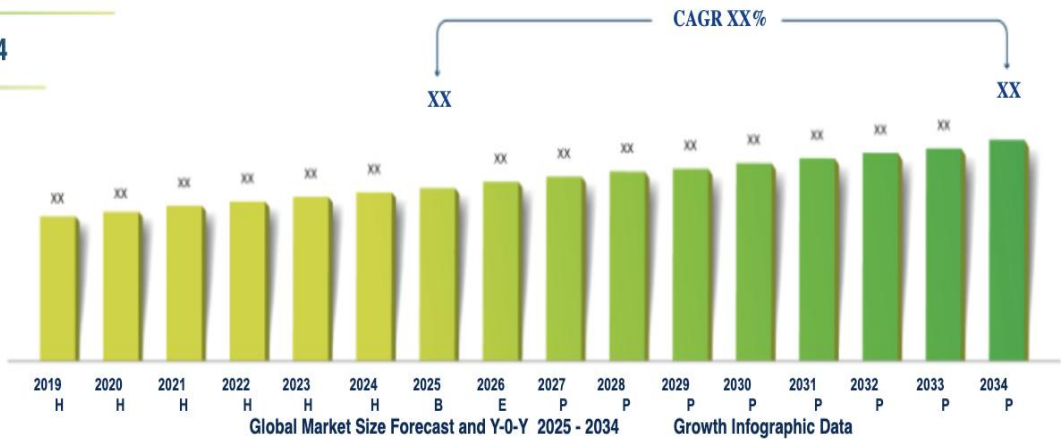
Regulatory Compliance

- Meets Federal Requirements and aligns state based restrictions



Global Outlook

2019 - 2034



By Product Type

Dry Food
Wet Food
Treats
Others

By Protein Source

Animal-based
Plant-based
Others

By Pet Type

Puppy
Adult
Senior

By Distribution Channel

Online Stores
Supermarkets/Hypermarkets
Specialty Pet Stores
Others

United States Pet Veterinary Diet Market

Market Size in USD Billion
CAGR 7.35%



Source : Mordor Intelligence



Source: Limited Ingredient Dog Food Market Research Report 2023, Growth Markets Analysis

